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MANUAL FOR PROCUREMENT OF GOODS & SERVICES

Comprehensive Study Notes

Based on the Manual for Procurement of Goods, 2nd Edition 2024

Verified against primary sources & updated to the latest in-force position
(GFR, 2017 amendments as compiled up to 31.01.2026)

For LDCE Inspector of Posts (IP) & PS Group 'B' Aspirants

Disclaimer & How to Use These Notes

DISCLAIMER

This booklet has been prepared by Dak Guru strictly from an examination point of view for candidates appearing in the Departmental Competitive Examinations of the Department of Posts — in particular the LDCE for Inspector of Posts (IP) and PS Group 'B'.

Every effort has been made to ensure accuracy and to incorporate the most recent changes, amendments, circulars and orders relating to the relevant Rules, Manuals and Government instructions. The statutory figures herein have been verified against the Manual for Procurement of Goods, 2nd Edition 2024 (Department of Expenditure), the General Financial Rules, 2017 (as amended), and the originating Office Memoranda.

Notwithstanding such care, this document is intended as a study aid only and does not constitute legal, financial or professional advice. Rules and limits are revised from time to time. Readers and candidates are strongly advised to refer to the official Government gazette notifications, the Department of Expenditure portal (doe.gov.in) and the latest Office Memoranda for the most authoritative and current position before relying upon any provision for official or examination purposes.

✓ CURRENCY & VERIFICATION NOTE (read this first)

Base document: Manual for Procurement of Goods, Second Edition 2024, issued by the Department of Expenditure (DoE), Ministry of Finance on 16.08.2024. This remains the latest edition of the Goods Manual as of June 2026.

Rule source: All financial limits flow from the General Financial Rules (GFR), 2017. The procurement limits in these notes reflect the major enhancement made by **DoE OM No. F.1/3/2024-PPD dated 10.07.2024** (effective immediately), and the performance-security revision by **DoE OM dated 01.01.2024**. These provisions continue in force in the GFR compilations issued up to 31.07.2025 (OM 19.09.2025) and up to 31.01.2026.

What changed in this edition of the notes: the Advance Payment section has been corrected to reflect the 2024 Manual's interest-free advance position; new verified material has been added on the Bid Securing Declaration, EMD exemption for MSEs/Start-ups, the PLI-scheme treatment under Make-in-India, and the Supreme Court ruling of 25.02.2025 affirming the MSE Policy as binding.

1. Introduction & Statutory Framework

Public procurement — the purchase of goods, services and works by Government using public money — is governed in the Central Government not by a single procurement law but by a framework of rules and instructions. The most important of these is the **General Financial Rules (GFR), 2017** (especially Chapters 5 to 9), read with the **Delegation of Financial Powers Rules (DFPR), 2024**, and a body of Government orders such as the Make-in-India preference. The **Manual for Procurement of Goods, 2nd Edition 2024** consolidates this framework into a single operational guide.

- Ministries / Departments have been delegated **full powers** to make their own arrangements for procurement of goods and services that are **not** available on the Government e-Marketplace (GeM).
- These powers must be exercised in accordance with the **DFPR, 2024** and in conformity with the Procurement Guidelines described in the Manual.
- Common-use goods and services available on GeM must be procured **mandatorily through GeM** — **Rule 149 of GFR, 2017**.

Definition of "Goods" (Rule 143, GFR 2017)

The term **'goods'** includes all articles, material, commodity, livestock, medicines, furniture, fixtures, raw material, consumables, spare parts, instruments, machinery, equipment, industrial plant, vehicles, aircraft, ships, railway rolling stock, assemblies, sub-assemblies, accessories, a group of machines comprising an integrated production process, or such other goods (but **excludes books, publications, periodicals, etc. for a library**), or intangible products like software, technology transfer, licences, patents or other intellectual property procured or otherwise acquired by a procuring entity.

Procurement of goods may also include certain **small works or services incidental or consequential** to supply — such as transportation, insurance, installation, commissioning, training and maintenance **(Rule 143, GFR 2017)**.

A **Competent Authority (CA)** competent to incur expenditure may sanction the purchase of goods required for use in public service in accordance with the DFPR, by following the Procurement Guidelines **(Rule 145, GFR 2017)**.

Categorisation of Procurements

The three broad categories of procurement are:

1. **Goods**
2. **Services** — (i) Consultancy Services and (ii) Non-Consultancy Services
3. **Works**

Goods vs. Works — the key distinction

The main difference between **Goods** and **Works** lies in the **place of manufacture / execution**:

- **Goods** are manufactured at the supplier's own premises (excluding installation / commissioning at the site).
- **Works** are executed on the premises of the procuring entity (excluding pre-fabricated components manufactured off-site).
- Works may include incidental Goods, and vice-versa.

Consultancy vs. Non-Consultancy Services

- **Consultancy** involves a predominant **intellectual input**; the output is one-off, non-routine, and neither precisely measurable nor standardised.
- **Non-consultancy** services are **repetitive routines** with measurable, standardised outputs.
- IT projects are usually procured as **Consultancy Services** because deliverables vary from one service provider to another — e.g. tailor-made software development, cloud-based services, and composite IT system integration (design, development, deployment, hardware supply, bandwidth, O&M after go-live, etc.).

Basic Aims of Procurement — The Five R's

> **The 5 R's of Procurement** ① Right Quality ② Right Quantity ③ Right Price ④ Right Time & Place ⑤ Right Source

2. Fundamental Principles of Public Procurement

Rule 144 of the GFR, 2017 lays down the Fundamental Principles of Public Procurement. Every authority delegated with financial powers of procurement is responsible and accountable for following these principles, which are commonly grouped under **Transparency** and **Professionalism**.

Transparency, Fairness, Competition & Appeal

- All procuring authorities are responsible for ensuring **transparency, fairness, equality, competition and the right of appeal**.
- This requires **simultaneous, symmetric and unrestricted dissemination of information** to all likely bidders — sufficient for them to understand the bidding opportunities, the means and processes, and the time limits for registration, bidding, evaluation, grievance redressal, award and contract management.

All procuring entities must invite offers through a fair and transparent procedure and publish all relevant information on the **Central Public Procurement Portal (CPPP) — www.eprocure.gov.in** as well as on **GeM**.

Professionalism, Economy, Efficiency & Integrity

- Procuring authorities are accountable for ensuring **professionalism, economy, efficiency, effectiveness and integrity** in the procurement process.
- They must avoid wasteful, dilatory and improper practices that violate the **Code of Integrity for Public Procurement (CIPP)**, which is itself a part of Rule 144.

3. Purchase Preference for MSEs

Under the amended **Public Procurement Policy for Micro & Small Enterprises (MSEs), Order 2012** — notified under **Section 11 of the MSMED Act, 2006** (original Gazette S.O. 581(E) dated 23.03.2012; the minimum target became mandatory from 01.04.2015; raised to 25% by the 2018 Amendment effective 01.04.2019) — all Central Government Ministries / Departments / CPSUs shall procure a **minimum of 25 per cent** of their total annual value of goods or services from MSEs.

Sub-Targets within the 25% Mandate

- **4%** of annual procurement is earmarked for MSEs owned by **Scheduled Caste (SC) / Scheduled Tribe (ST)** entrepreneurs.
- **3%** of annual procurement is earmarked for MSEs owned by **Women** entrepreneurs (vide Order dated 09.11.2018).

Price-Matching Facility — the "L1 + 15%" Band

If the L1 (lowest) price in a tender is from someone **other than an MSE**, participating MSEs quoting prices within a price band of **L1 + 15%** shall be allowed to supply **at least 25%** of the total tendered value by bringing their price down to the L1 price.

- If more than one eligible MSE matches L1 within this band, the 25% quantity is distributed **proportionately**.
- Where the tender item **cannot be split or divided**, an MSE quoting within the L1 + 15% band may be awarded the **full / complete supply** of the total tendered value, in keeping with the spirit of the Policy.

> ⚠ **CORRECTION FROM EARLIER NOTES**
> Older study material sometimes wrote this band as "L15%". The correct expression is **L1 + 15%** — i.e. MSE quotes up to 15% **above** the L1 price are eligible to match L1 and supply at least 25% of the tendered quantity.

Other MSE Benefits

- **Tender documents free of cost** and **exemption from Earnest Money Deposit (EMD)** for registered MSEs.
- **358 items** are reserved for **exclusive procurement** from MSEs.

Timely Payments to MSEs (MSMED Act, 2006 — Chapter V)

- The agreed payment period must **not exceed 45 days** from the date of deemed acceptance of the materials supplied by the MSME (Section 15).
- If there are discrepancies, the procuring entity must raise an objection **within 15 days** of receipt of materials; failing this, *deemed acceptance* is presumed.
- For delay in payment, the buyer is liable to pay **compound interest** to the supplier on the delayed amount at **three times the bank rate** notified by the Reserve Bank of India (Section 16).

> ⚖ **LATEST LEGAL POSITION — MSE Policy is binding (Supreme Court, 2025)**
> In *Lifecare Innovations Pvt. Ltd. & Anr. v. Union of India & Ors.*, decided on **25.02.2025** (2025 SCC OnLine SC 436), the Hon'ble Supreme Court held that the Public Procurement Policy for MSEs is **binding on all procuring entities** and cannot be diluted through restrictive tender conditions. The Policy, being delegated legislation under Section 11 of the MSMED Act, now stands as a legally enforceable mandate rather than a mere aspiration. *(Useful current-affairs / legal-update point for the examination.)*

4. Procurement Preference — Make in India (PPP-MII)

The **Public Procurement (Preference to Make in India) Order, 2017** was issued under **Rule 153(iii) of GFR, 2017** by the **DPIIT** to encourage local manufacturing. It has been revised on 28.05.2018, 29.05.2019, 04.06.2020, 16.09.2020 and most recently on **19.07.2024** (Order No. P-45021/2/2017-PP(BE-II)-Part(4)Vol.II) — the version reflected in the 2024 Manual.

Classification of Local Suppliers (by Local Content)

Class	Local Content Requirement	Eligibility
Class-I Local Supplier	≥ 50%	Eligible in all procurements
Class-II Local Supplier	> 20% but < 50%	Eligible except where GTE is issued
Non-Local Supplier	≤ 20%	Eligible only in GTE

Margin of Purchase Preference

The **margin of purchase preference is 20%** — i.e. a Class-I local supplier whose quoted price is up to **20% above L1** may be invited to match the L1 price. The Order itself fixes this: *"Margin of purchase preference … has been fixed as 20 (twenty) per cent."*

> ⚠ **KEY CORRECTION**
> Earlier circulating notes incorrectly mentioned "L10%" as the margin under MII. The correct margin per the PPP-MII Order, 2017 (reiterated in the 19.07.2024 revision) is **20% (i.e. L1 + 20%)**, **NOT 10%**.

Purchase Preference Procedure

- Among all qualified bids, the lowest is termed **L1**. If L1 is itself a Class-I local supplier, the contract for the **full quantity** is awarded to L1.
- If L1 is **not** a Class-I local supplier, **50%** of the order is awarded to L1, and the remaining **50%** is offered to the lowest Class-I local supplier whose price is within the 20% margin — on condition that the Class-I supplier matches the L1 price.
- If the lowest eligible Class-I supplier fails to match L1, the next higher Class-I supplier within the 20% margin is invited, and so on.

- If none of the Class-I suppliers within the margin matches L1, the contract may be awarded to L1.
- Where the procuring entity negotiates with an L1 bidder who is **not** a Class-I supplier, the 20% margin must be calculated on the **original L1 price**, not the negotiated lower price; eligible Class-I suppliers are then called to match the new negotiated L1 for the 50% quantity.
- **Class-II local suppliers** do not get a purchase preference; they are only eligible to bid (except in GTE).

Local Content Certification & Penalty

- Self-certification of local content is required at the bidding stage. For all contracts above **₹10 crore**, local content must be certified by a cost / chartered accountant in practice at the time of project execution.
- If actual local content falls short and the supplier's class downgrades (Class-I → Class-II / Non-local, or Class-II → Non-local), a **penalty of up to 10% of contract value** may be imposed.
- Procurement of estimated value **less than ₹5 lakh** is exempt from the PPP-MII Order (no splitting allowed to avoid coverage).

> ✚ **ADDITION — PLI Scheme Special Treatment (para 1A of the Order)**
> A manufacturer producing an item under a **Production-Linked Incentive (PLI) Scheme** shall be treated as a **deemed Class-II local supplier** for that item — **unless** the manufacturer has local content equal to or higher than that notified for a Class-I supplier for that item — provided the manufacturer has received incentive from the concerned PLI Ministry. This treatment applies only for the specific time period notified by that PLI Ministry.

Energy Efficiency — BEE Star Ratings

To reduce energy consumption without diminishing service value, the Ministry of Finance prescribes minimum **Bureau of Energy Efficiency (BEE)** star ratings, to be built into the Technical Specifications **(Rule 173(xvii), GFR 2017)**:

Appliance	Minimum Star Rating
Split Air Conditioners (annual usage > 1,000 hrs)	★★★★★ **(5 Star)**
Split AC — limited use (e.g. conference rooms)	★★★ **(3 Star)**
Frost-Free Refrigerators	★★★★ **(4 Star)**

Appliance	Minimum Star Rating
Ceiling Fans	★★★★★ (5 Star)
Water Heaters	★★★★★ (5 Star)

5. Option Clause in Tenders

Normally, for raw materials / consumables of regular and year-on-year recurrent requirement, **all tenders of value above ₹50 lakh** should incorporate a plus/minus option clause — typically **± 25%** — reserving the purchaser's right to increase or decrease the quantity, without any change in the rates or terms quoted.

- The Competent Authority may approve such a clause in lower-value tenders too, if the items have a history of frequent supply disruptions.

Standard Wording

"The purchaser reserves the right to increase / decrease the ordered quantity by up to 25 per cent at any time, till the final delivery date (or the extended delivery date) of the contract, by giving reasonable notice — even if the quantity ordered initially has been supplied in full before the last date of the delivery period (or extended delivery period)."

6. Modes of Procurement

Offers in public procurement must be invited through a procedure that balances the **widest possible competition** against procedural complexity. Different modes suit different circumstances and values.

Modes of Procurement — at a Glance

- **Open Tenders** — (a) Open Tender Enquiry (OTE) and (b) Global Tender Enquiry (GTE)
- **Procurement through Selected Suppliers** — (a) Limited Tender Enquiry (LTE), (b) Special Limited Tender Enquiry (SLTE)
- **Nomination-Basis Tenders** — (a) Proprietary Article Certificate (PAC), (b) Single Tender Enquiry (STE) without PAC
- **Procurement without Calling Tenders** — (a) Direct Procurement without Quotation, (b) Direct Procurement by Purchase Committee
- **Mandatory Procurement on GeM** for items available there **(Rule 149, GFR 2017)**.

Key Threshold Limits — At-a-Glance

All limits below reflect the **10.07.2024 amendment** (MoF, DoE OM No. F.1/3/2024-PPD), which continues in force in the GFR compilation up to 31.01.2026.

GFR Rule	Mode of Procurement	Earlier Limit	Revised Limit (w.e.f. 10.07.2024)
149(i)	GeM — direct online purchase from any available supplier	Up to ₹25,000	**Up to ₹50,000**
149(ii)	GeM — L1 of at least 3 different manufacturers	₹25,000 – ₹5,00,000	**₹50,000 – ₹10,00,000**
149(iii)	GeM — mandatory online bidding / reverse auction	Above ₹5,00,000	**Above ₹10,00,000**
154	Purchase without Quotation (petty purchase)	Up to ₹25,000	**Up to ₹50,000**
155	Purchase by Local Purchase Committee (3 members)	₹25,000 – ₹2,50,000	**₹50,000 – ₹5,00,000**
161	Open / Advertised Tender Enquiry (OTE)	₹25 lakh & above	**₹50 lakh & above**
162	Limited Tender Enquiry (LTE)	Up to ₹25 lakh	**Up to ₹50 lakh**

EXAM TIP — "Why 10.07.2024?"

On **10.07.2024** the Department of Expenditure issued **OM No. F.1/3/2024-PPD** enhancing financial limits in GFRs 133, 139, 149, 154, 155, 161, 162, 173, 183, 201 & 218. The consolidated GFR, 2017 was issued on **07.08.2024**, and the **Manual for Procurement of Goods (2nd Edition, 2024)** was issued on **16.08.2024** by DoE.

Open Tender Enquiry (OTE) — Rule 161

- In OTE, the **widest possible competition** is sought by publishing the NIT simultaneously on the designated websites.
- This is the **default mode** of procurement and gives the best Value for Money (VfM), but the procedure is relatively complex and prolonged.

OTE (through e-procurement or traditional tendering) should be adopted where:

1. Procurements **exceed ₹50 lakh** (threshold revised w.e.f. 10.07.2024);
2. All common-use requirements with clear technical specifications;

3. Requirements ordinarily available in the open market where competitive offers must be evaluated;
4. Sources are unknown or limited and need broad-basing **(Rule 161, GFR 2017)**.

Even for procurements below ₹50 lakh, OTE may be used if warranted.

Terms & Conditions of OTE

- Already-registered bidders are also free to participate.
- Advertisements must be on **GeM** as well as on the **GeM-Central Public Procurement Portal (GeM-CPPP)**; the entity must also publish on its own website and post the complete bidding document for **free download**. **No cost** may be charged for downloaded tender documents.
- Tender documents must be available for download up to the date of opening of tenders; records of documents downloaded and parties involved must be maintained.
- The minimum gap between advertisement date and bid-opening date shall be **21 days**, which may vary with the nature of material and delivery; extension is permitted with CA approval to promote competition.

Global Tender Enquiry (GTE) — Rule 161

GTE is similar to OTE but, through advertising and provision for payment in foreign currencies via Letter of Credit, it invites participation of **foreign firms**. Development of local industry must also be kept in mind. GTE is viable only where:

1. Goods of required specifications / quality are not available within the country, and Indian alternatives are unsuitable;
2. There is no local branch of the global principal / vendor;
3. Compliance with specific international standards is required;
4. There are insufficient competent domestic bidders, or suspected cartel formation among indigenous bidders **(Rule 161, GFR 2017)**.

Terms & Conditions of GTE

- Advertisements on GeM and GeM-CPPP, and on the entity's own website with free download.
- Tender documents may be priced minimally, considering tender value and cost of preparation / publicity.

- Tender documents must be in **English**. Bidders may quote and be paid in INR / USD / EUR / GBP / JPY or any currency from the RBI's notified basket.
- Technical specifications must align with national requirements or international trade standards.
- E-procurement may **not** be insisted upon mandatorily for GTE.
- Minimum gap between advertisement and bid opening = **4 weeks** (extendable with CA approval).

> **Important — GTE Restriction up to ₹200 crore**
>
> No GTE is to be invited for procurements **up to ₹200 crore** (or such limit as DoE may prescribe) — refer **DoE OM dated 03.08.2021**. If no Indian manufacturer / supplier is found, GTE may be done after compliance with GFR and GeM provisions. Certain bona-fide exemptions exist (e.g. specified scientific / research institutions up to 31.03.2025).

Limited Tender Enquiry (LTE) — Rule 162

- LTE is a **restricted-competition** procurement: a pre-selected panel of vendors (on the registered-supplier list) is directly approached for bidding for goods / services not on GeM.
- Bids from uninvited bidders are treated as unsolicited and are normally not entertained, except in special circumstances.
- This mode gives a short, simple procedure but may not match the VfM of open tendering — a good balance below the threshold.

LTE is the **default mode** when the estimated value of procurement is **between ₹5 lakh and ₹50 lakh** (limit revised w.e.f. 10.07.2024 — Rule 162). Below ₹5 lakh, the petty-purchase / Purchase-Committee modes apply instead.

> **PRECISION POINT — the LTE range**
>
> Many notes state LTE simply as "up to ₹50 lakh". The 2024 Manual's exact wording is that LTE "should be the default mode … when the estimated value of procurement is **between Rs. 5 lakh to Rs. 50 lakhs**". The upper ceiling of ₹50 lakh is what is most tested; the ₹5 lakh lower bound simply marks where petty-purchase / LPC modes give way to LTE.

Terms & Conditions of LTE

- Bidding documents are sent **free of cost** (except priced specifications / drawings) by speed post / courier / e-mail to registered vendors. The entity must **mandatorily publish** LTEs on GeM and GeM-CPPP, and on the Department's / Ministry's website.
- A simplified single-page Bid Document should be used. The minimum number of bidders to whom LTE must be sent is **more than three**. If fewer than three approved vendors are available, LTE may be sent to those available with CA approval, recording reasons.
- Where the registered list is large and unwieldy, a transparent **rotation system** may keep the invited shortlist manageable (say 8 to 12).
- Adequate time for quotes — **not less than 3 weeks** (extendable to **6 weeks** for imports or justified complex cases).
- Since selected bidders are normally registered, **Bid Security and Performance Security are usually not taken** in LTE.

Special Limited Tender Enquiry (SLTE) — Rule 162

LTE mode, **even for values higher than ₹50 lakh** (where OTE would normally apply), is permissible in certain special circumstances. The Schedule of Procurement Powers (SoPP) may lay down powers to sanction SLTE, supported by a **certificate of urgency** signed by the indenter. It is quicker but may yield lower VfM than OTE — to be restricted to rare situations:

1. The CA certifies an existing or prospective **urgency** for operational / technical requirements, and that the additional expenditure from not advertising is justified by the urgency (nature of urgency and reasons recorded).
2. There are sufficient recorded reasons that advertising would **not be in public interest**.
3. Sources of supply are definitely known and the chance of fresh sources is remote.
4. Pre-verification of firm competence is essential (requiring registration); or Government policy designates procurement from specific agencies.

> **✚ SLTE vs. LTE — a frequently-missed distinction**
> Unlike ordinary LTE, in SLTE **Bid Security and Performance Security ARE taken**, as in OTE. This is because SLTE is used at OTE-level values; the safeguards of open tendering are therefore retained even though competition is limited.

Proprietary Article Certificate (PAC)

- Certain items are procured only from Original Equipment Manufacturers (OEMs) or manufacturers with proprietary rights (or their authorised dealers / stockists), against a **PAC** signed by the appropriate authority.
- Once a PAC is signed at the designated SoPP level, the powers of procurement are the same as in normal conditions per the delegation of powers.
- This mode may be the shortest, but as it provides lesser VfM than LTE / OTE and strains transparency, it should be used only in justifiable situations.
- No item should be procured on PAC basis for **more than 3 years**, after which a mandatory OTE must be done to test the market.

Single Tender Enquiry (STE) without PAC — Rule 166

A tender invited from **one firm only** without a PAC certificate is a Single Tender. It is the shortest mode but may give lesser VfM and strain transparency. Resorted to only under:

- Existing or prospective **emergency** relating to operational / technical requirements (certified by indenter), where the goods must necessarily be purchased from a particular source — reasons recorded and CA approval obtained.
- Standardisation of machinery / components / spare parts to be compatible with existing equipment (on advice of a competent technical expert and approved by CA) **(Rule 166, GFR 2017)**.

Drawals against Rate Contract (RC) / Framework Contract (FC)

- An **RC** is essentially a price agreement with vendors at specified prices and terms for the period covered — **no quantity** is mentioned and **no minimum commitment** is guaranteed.
- RC is most frequently used in goods procurement, but can also be used *mutatis mutandis* in works, services and consultancy, where it is commonly known as a **Framework Contract (FC)**.
- RC is **not** to be executed for common-use items such as computers, printers, photocopiers, paper, stationery, furniture or bottled water — these are placed on GeM. RC now applies only to specialised / engineering items **not** available on GeM, needed on a recurring basis by various Ministries / Departments.

Direct Procurement without Quotation (Petty Purchase) — Rule 154

- Done for the smallest-value procurements ("petty purchase") of off-the-shelf goods of simple, standard specifications, when the goods are not available on GeM.
- It is **mandatory** to generate a **GeM Availability Report & Past Transaction Summary (GeMAR&PTS)** with a unique ID on the GeM portal, for any procurement outside GeM.

This procedure is the simplest and quickest, but VfM may be poor — suitable only in low-value, urgent and simple requirements:

1. Each requirement does **not exceed ₹50,000** per case (revised from ₹25,000 w.e.f. 10.07.2024);
2. The requirement is urgent but not covered in the procurement plan;
3. The requirement is for off-the-shelf goods of simple, standard specifications (e.g. day-to-day office needs) **(Rule 154, GFR 2017)**.

Direct Procurement by Local Purchase Committee — Rule 155

Where an item is not available on GeM, purchase of goods costing **above ₹50,000 and up to ₹5,00,000** on each occasion may be made on the recommendation of a duly-constituted **Local Purchase Committee (LPC)** of **three members** of an appropriate level decided by the Head of the Department **(Rule 155, GFR 2017 — w.e.f. 10.07.2024)**.

Terms & Conditions

- The competent officer may initiate and complete the purchase after diligent market enquiries and filling the prescribed certificate.
- Limited powers may also be given to user sections for operational needs.
- An **imprest** (with cheque-payment facility) sufficient for **two months'** estimated procurements may be sanctioned; recouped monthly on submission of vouchers.
- Selection of the seller through diligent market enquiry is the essence of this mode; records of vendors approached and prices indicated must be kept.
- Supervisors must periodically review to ensure demands are not split solely to avoid higher-authority sanction or LTE / OTE.
- An annual ceiling — say **₹5 lakh** per office per year — may be fixed for control.
- Payments should be by **cheque or ECS**; cash payments only up to **₹5,000** may be allowed. Staff handling such procurements should be rotated.

7. Bidding Systems

- Bidding systems balance the countervailing needs of **Right Quality, Right Source and Right Price** under different complexities and values.
- In critical and complex requirements, the **technical and financial capability** of the source becomes a key determinant of VfM.

Single-Stage Bidding System

- All bids are invited together — in a single envelope or a multiple-envelope system.
- Suitable where technical requirements are simple / moderate, source capability is not crucial, and value is not too high.

Single-Stage Two-Envelope (Two-Bid) System — Rule 163

- Used for technically complex requirements where source capability is still not crucial and value is not low.
- Tenderers bifurcate their quotation into two envelopes:
  - **Envelope 1 — Techno-commercial bid:** eligibility, technical quality and performance, commercial terms — **excluding** price and financial details.
  - **Envelope 2 — Financial bid:** price quotation with other financial details.
- Both envelopes are submitted together in a sealed outer envelope. Techno-commercial bids are opened, scrutinised and evaluated first; only the **compliant** bidders' financial bids are opened later on a pre-announced date.
- Financial bids of technically non-compliant bidders are returned **unopened** (by registered AD / reliable courier with proof of delivery). In e-procurement, they simply do not get opened.

Two-Stage Bidding — Expression of Interest (EoI) — Rule 164

- Used where the equipment / plant is of **complex nature** and the organisation may not have full knowledge of available technical solutions or sources.
- EoI bids are invited and the market explored to finalise specifications via discussions / presentations with experienced manufacturers / suppliers.

EoI may be invited when:

1. It is not feasible to formulate detailed specifications without inputs from bidders;
2. The subject matter is subject to rapid technological advances or market fluctuations;

3. The entity seeks a contract for research, experiment, study or development (except where it includes commercial-quantity production or recovery of R&D costs);
1. The bidder is expected to carry out a detailed survey / investigation and assess risks, costs and obligations **(Rule 164, GFR 2017)**.

Electronic Procurement (e-Procurement)

- It is **mandatory** for Ministries / Departments to receive **all bids** through e-procurement portals for all procurements.
- Departments without large procurement volumes may use the NIC e-procurement solution; others may use NIC's solution or engage another service provider through due process.
- Cases involving **national security and strategic confidentiality** may be exempted from e-procurement after approval of the concerned Secretary with concurrence of the Financial Adviser.

Electronic Reverse Auction (RA)

- A dynamic method where the starting price, bid decrement, duration, and maximum number of automatic extensions are announced before start.
- Shortlisted bidders bid online iteratively: the lowest bidder at any moment can be displaced by an even lower bid within the duration.
- If a new lower bid arrives within the last few minutes (say **2 minutes**) of closing, the closing time may auto-extend by a few minutes (say **5 minutes**) for others to respond; the maximum number of such extensions may be stipulated (say **5**).
- CVC has authorised Departments to decide on RA for purchases or sales and work out detailed procedures, ensuring transparency and fairness.

When to Use Reverse Auction

- **Not** suitable for strategic, critical, vital, in-short-supply or few-supplier items.
- Suits commodity-like / COTS items, items with many suppliers, and high-value procurements where a detailed description can be formulated and a competitive market exists.
- The successful-bid criteria must be quantifiable and expressible in monetary terms. Where pre-qualification is needed, RA is carried out among the pre-qualified bidders only.

8. Government e-Marketplace (GeM) — Rule 149

- An **online marketplace** is a site where products / services are offered by multiple sellers and buyers select on their own criteria; buyer transactions are processed by the operator while delivery is by the participating retailers.
- Because it aggregates products from many providers, selection is wider, availability higher, and prices more competitive than vendor-specific online retail.
- The Ministry of Commerce developed **GeM** for common-use goods and services. GeM is a **100% Government-owned National Public Procurement Portal** — a **Section 8 (non-profit) company** under the Companies Act, 2013. Procurement on GeM is end-to-end (from supply order to supplier payment), entirely electronic and online.
- Procurement of goods / services by Ministries / Departments is **mandatory** for items available on GeM **(Rule 149, GFR 2017)**.

Direct On-Line Purchase Limits on GeM (w.e.f. 10.07.2024)

Slab	Procurement Procedure
Up to ₹50,000	From any available supplier on GeM meeting requisite quality, specification and delivery period.
Above ₹50,000 to ₹10,00,000	From the GeM Seller having the lowest price (L1) among available sellers of at least 3 different manufacturers, meeting requisite quality, specification and delivery period. Online bidding / reverse-auction tools may be used even below ₹10 lakh.
Above ₹10,00,000	From the supplier having the lowest price meeting requisite quality, specification and delivery period — after mandatorily obtaining bids using online bidding or reverse-auction tools on GeM.
Automobiles	Direct-purchase ceiling continues at ₹30 lakh (no change under the 10.07.2024 amendment).

Special provision — Scientific & Educational Institutions

For Scientific Ministries / Departments / Organisations (DST, DBT, DSIR, DAE, DoS, MoES, DRDO, ICAR, DHR/ICMR, including affiliated institutions and Universities, and post-graduate / doctoral / research educational institutes), **enhanced direct-purchase limits** apply per **DoE OM dated 18.07.2024** — e.g. direct purchase up to **₹1,00,000** on GeM in place of ₹50,000. The relaxation under OM 20/42/2021-PPD dated 20.05.2024 continues for these bodies.

Key GeM Operating Rules

- Online e-bidding / reverse auction is available to all existing and registered sellers who have offered goods / services under the relevant category, per GeM terms.
- These ceilings apply only for purchases **through GeM**; for purchases outside GeM, the relevant GFR rules apply.
- Ministries / Departments work out requirements on the **OPEX or CAPEX** model at Budget Estimate stage and project their Annual Procurement Plan on GeM within **30 days** of Budget approval.
- Reasonableness of prices may be checked using GeM's **Business Analytics (BA)** tools — including Last Purchase Price (LPP) on GeM, the Department's own LPP, etc.
- A demand **shall not be divided** into small quantities to make piecemeal purchases to avoid L-1 buying / bidding / reverse auction on GeM, or to avoid higher-authority sanction.

9. Bid Documents — Preparation, Publication, Receipt & Opening

Essential Contents of a Bid Document (Rule 173)

- Description of the subject matter — specifications including nature, quantity, time, and place(s) of delivery.
- Limitations or preferences for participation in terms of Government policies.
- Eligibility and qualification criteria — **eligibility** addresses the supplier's right to receive a Government contract; **qualification** addresses past performance, experience, technical competence, production capacity, financial strength, and environmental compliance / EMS.
- There must be **no qualifications** that would advantage foreign-manufactured goods at the cost of domestically manufactured goods.
- Procedure, date, time and place for obtaining, submitting and opening bids; terms of delivery / completion.
- Provisions enabling a bidder to question bidding conditions, process or bid rejection, with a time-frame for the entity to respond **(Rule 173(iv))**.
- Criteria for determining responsiveness, evaluation factors on a common platform, and contract-award criteria for the most-advantageous responsive bidder.

- A clause that if a firm quotes **NIL** charges / consideration, the bid shall be treated as unresponsive.
- Provision for settlement of disputes **(Rule 173(v))**; essential contract terms including that the contract is interpreted under **Indian laws (Rule 173(vi))**.

Contents of Tender Documents — Rule 168 (the SBD)

The main sections of the Standard Bidding Document (SBD) are:

- Notice Inviting Tender (NIT)
- Instructions to Bidders (ITB)
- Appendix to Instructions to Bidders (AITB) — procurement-specific information kept separate instead of modifying the ITB
- Eligibility and Qualification Criteria
- Schedule of Requirements
- Technical Specifications (incl. Drawings) and Quality Assurance (Inspections & Tests)
- General Conditions of Contract (GCC)
- Special Conditions of Contract (SCC) — a separate section instead of modifying the GCC each time
- Standard formats — bid cover letter, price schedules, bank guarantees, contract format, etc.

Tender Documents — General Principles

- The tender document is the fundamental document; after award it becomes part of the contract. **All** provisions governing the contract should be clearly provided here.
- **GCCs should not be altered**; any changes must be made through **Special Conditions of Contract (SCC)** only.
- Provision of price variation (where appropriate), with the methodology of calculation, must be clearly stipulated.
- Experience criteria should be kept **broad-based** so that bidders with experience in similar items can participate; open online tendering should be the default.
- Pre-bid conferences may be held for large-value tenders; place and time must be in the tender document and / or publicised.

Bid Validity

A bid shall remain valid for the period mentioned in the tender document — **90 days** if not so specified.

Special Conditions in GTE Procurements

- **(a) Currency of bidding:** Foreign bidders may quote (and be paid) in RBI's notified basket — USD, EUR, GBP, JPY, etc. — in addition to INR; except expenditure incurred in India (including agency commission), which is in INR. Indian bidders quote in INR only.
- **(b) Agency commission:** The commission payable to the Indian Agent (normally **not exceeding 5%**) shall not exceed what is specified in the agency agreement (a certified copy of which must accompany the bid).

Cost & Availability of Tender Documents

Estimated Value of Tender	Tender Document Cost
Below ₹25 lakh	**₹500**
₹25 lakh to ₹2 crore	**₹1,500**
₹2 crore to ₹25 crore	**₹2,500**
₹25 crore to ₹50 crore	**₹5,000**
Above ₹50 crore	Decided on a case-to-case basis

Note: To widen participation, **no cost** may be charged for tender documents downloaded from the website / CPPP / GeM.

10. Bid Security (Earnest Money) & Performance Security

Bid Security (Earnest Money Deposit — EMD) — Rule 170

- Bid security normally ranges between **2% to 5%** of the estimated value of goods to be procured (rounded to the nearest thousand).
- EMD is **not required** if tender value is **up to ₹5 lakh**.
- Acceptable forms: **Insurance Surety Bond, Account Payee Demand Draft, Banker's Cheque, Bank Guarantee (incl. e-Bank Guarantee), or online payment**. Where bid security exceeds the threshold (₹5 lakh) — and for foreign bidders in GTE — it may be a bank guarantee (in equivalent foreign exchange for GTE) issued / confirmed by a commercial bank in India.

- Bid security shall normally remain valid for **45 days** beyond the final bid validity period.
- Bid securities of unsuccessful bidders are returned at the earliest after expiry of the final bid validity — and latest by the **30th day** after award. That of the **successful** bidder is refunded upon receipt of performance security.
- In a two-packet / two-stage tender, bid securities of bidders unsuccessful in the first (technical) stage are returned within **30 days** of declaration of the first-stage result.

ADDITION — Bid Securing Declaration (BSD) & EMD Exemptions

Bid Securing Declaration (BSD): In place of bid security, the entity (with CA approval) may ask bidders to submit a **Bid Securing Declaration** — accepting that if they withdraw / modify their bid during validity, or fail to furnish performance security or sign the contract, it shall be a violation of the Code of Integrity and they shall be **suspended** from bidding for the period specified in the BSD.

Who is exempt from EMD: Bidders currently (and continuing to be) registered with the entity; **MSEs** as defined in the MSE Procurement Policy; and **Start-ups recognised by DPIIT**. Such bidders furnish a certified copy of their valid registration. Start-ups / MSEs also enjoy relaxation of prior-turnover and prior-experience criteria.

Performance Security — Rule 171

- To ensure due performance, **performance security** — also called Performance Bank Guarantee (PBG) or Security Deposit (SD) — is obtained from the successful bidder.

KEY AMENDMENT — DoE OM dated 01.01.2024 (current & in force)

From **01.01.2024**, performance security for procurement of **Goods / Consultancy / Non-Consultancy Services** is **3% to 5%** of the value of contract (revised from earlier 5%–10%, then 3%–10%). For **Works**, performance security plus security deposit / retention money continues at **3% to 10%** of contract value. This 3%–5% position continues unchanged in the GFR compilations up to 31.01.2026.

- In a **scrap tender**, the Security Deposit is **25% of bid value**.
- Submission of performance security is **not necessary** for a contract value **up to ₹50 lakh**.
- Performance security is furnished by a specified date — generally **14 to 28 days** after notification of award — and remains valid for **60 days** beyond the date of completion of all contractual obligations (including warranty).

- The entity may stipulate an **upper ceiling** (illustratively ₹75 lakh for tenders up to ₹50 crore; ₹3 crore for tenders above ₹50 crore but below ₹300 crore).
- For GTE contracts, performance security must be in the same currency as the contract and conform to **URDG 758** (Uniform Rules for Demand Guarantees).
- For long-term / Rate Contracts spanning multiple years, the entity may proportionately **reduce** performance security in proportion to the balance contract period.

Acceptable Forms of Performance Security

- Insurance Surety Bond
- Account Payee Demand Draft
- Fixed Deposit Receipt from a Commercial Bank
- Bank Guarantee (including e-Bank Guarantee) from a Commercial Bank
- Online payment in an acceptable form, safeguarding the purchaser's interest.

Exemptions from Performance Security

The procuring entity may exempt the following (on specific request or otherwise):

- Government Ministries, Departments, attached and subordinate offices, and autonomous bodies.
- OEMs in whose favour a PAC is issued, in tenders against PAC.

Note: Unlike Works, in Goods procurement the concept of retaining part of the performance guarantee from the first / progressive bills is **not** acceptable.

11. Advance Payment — Rule 172

Ordinarily, payments for services rendered or supplies made should be released **only after** the services / supplies. However, in exceptional situations where the contractor must sink substantial funds before payment becomes due — and considering the Government's lower cost of funds compared with the bidder's — advance payment **with safeguards** (Bank Guarantee / Insurance Surety Bond / Letter of Credit) may be considered, for example:

- Maintenance contracts for servicing of air-conditioners, computers, other costly equipment, etc.
- Fabrication contracts, turn-key contracts, or supply of complicated tailor-made goods.

Ceiling Limits for Advance Payment

Advance payments shall **not exceed** the following limits (except for arms and ammunition from Ordnance Factories), and never more than the funds actually to be sunk before payment becomes due:

Type of Recipient / Contract	Maximum Advance
Private firms	**30% of contract value**
State / Central Government Agency or PSU/PSE	**40% of contract value**
Maintenance contracts	**Amount payable for 6 months under the contract**

⚠ IMPORTANT CORRECTION — Advances are now INTEREST-FREE (2024 Manual)

Some older notes state that advance payments "shall generally be **interest-bearing**". Under the **Manual for Procurement of Goods, 2nd Edition 2024 (Rule 172)**, the position is the opposite: leveraging the difference in the cost of funds and the bidder's additional BG cost, **interest-free advance payments may be considered** with the approval of the Competent Authority and finance concurrence.

The interest-bearing fallback applies only on default: where an interest-free advance is permitted, the tender / contract may stipulate that **if the contract is terminated due to the contractor's default**, the advance becomes an interest-bearing advance at (e.g.) the GPF rate prevailing on the date of release, **plus 2%, compounded quarterly**. In appropriate cases the CA may instead stipulate interest-bearing advances from the outset.

Safeguards & Recovery

- Adequate safeguard in the form of a **Bank Guarantee (or e-BG) of at least 110% of the advance** must be obtained. Where advances are paid / recovered in instalments, an equal number of part-BGs (proportionate amount and validity) may be taken instead of a lumpsum BG.
- Advance payment should **not be made in less than two instalments**, as per the expected infusion of funds, to check misuse if the contract is delayed.
- Advances (especially interest-free) should be **recovered in instalments** linked to milestones or specified periods, from running bills or the Performance / Advance-payment BG — whichever is earlier.

- An **Indemnity Bond is not** to be considered in place of a Bank Guarantee. However, no BG need be insisted upon where the advance is given to a Central Ministry / Department / PSU, or for arms and ammunition from Ordnance Factories.
- In exceptional cases, the Administrative Department may relax these ceilings with prior concurrence of Associated / Integrated Finance.

12. Contract Management

- The purpose of contract management is to ensure the contract delivers the desired outcomes per its terms, and that **payments match performance** — "we get what we pay for and pay only for what we get."
- Implementation must be strictly monitored, with notices issued promptly whenever a breach occurs.

Issues Handled During Contract Management

- Amendments to the contract; operation of the option clause
- Safeguards for handing over the entity's materials / equipment to contractors
- Payments to the contractor and handling of securities; monitoring of supplier performance
- Delays in performance; breach, remedies and termination; dispute resolution
- Contract closure on completion; goods receiving, quality assurance, accountal of bills, and storage / issue of inspected goods

Amendment to the Contract

- Once concluded, terms should **not be varied**.
- No amendment that vitiates the original tender decision or bestows **undue advantage** on the contractor shall be made.
- Where modification is inescapable, it shall be done with prior approval of the CA and concurrence of Associated / Integrated Finance.

Option Clause (Recap)

- The purchaser retains the right to place orders for an additional quantity up to a specified percentage of the originally contracted quantity at the same rate and terms during the currency of the contract.
- It should be part of the Bid Document and contract; ideally not exceeding **25% to 30%**.

- For raw materials / consumables of regular and year-on-year recurrent requirement, **all tenders above ₹50 lakh** should invariably include this clause.

Safeguards for Handing Over Entity Materials / Equipment

- Before final payment or release of PBG / SD, obtain a certificate that the contractor has returned all documents, drawings, protective gear, materials, equipment, facilities and assets loaned (incl. ID cards and gate passes) in good condition.
- Certification must confirm payment received from the contractor for usage of electricity, water, crane, accommodation, weighing facility, etc. For low-value items below **₹1 lakh**, or for sending spares for repairs to OEMs, the BG stipulation may be waived; an indemnity bond may be taken instead if feasible.

Payments to the Contractor & Handling of Securities

- All payments due — including release of performance security — must be made on a **priority basis** without avoidable delay. Before payment, the invoice must be cross-checked with actual receipt of material.
- Before final payment or release of the PBG, a **'No Claim Certificate'** should be insisted upon from the supplier to prevent future claims.
- Whenever a bank guarantee is released, an **acknowledgement** must be taken from the contractor; proper safe-custody and monitoring of BGs must be followed.

Delay in Payment to Contractors

Public authorities may provide for payment of **interest** where bills are delayed by more than **30 working days** after submission by the contractor; the rate shall be the rate of the **General Provident Fund (GPF)**.

Monitoring of Supplier Performance

As soon as the order is issued, an entry is made in the **progress-of-supply-order register** (supplier's name, items, rate, quantity, amount, delivery schedule, etc.). Monitoring should ensure timely deliveries, quality of goods, adherence to proper invoicing, and prompt resolution of problems.

Delivery Period

For raw materials delivered throughout the year, a monthly delivery schedule is specified. Slight deviations are usual; however, the following deviations are treated as **delay** and attract Liquidated Damages (LD):

Period	Deviation Treated as Delay
Any calendar month	**Beyond ± 10%**
Cumulative in any calendar quarter	**Beyond ± 7%**
Cumulative in any calendar year	**Beyond ± 5%**

Force Majeure (FM) Clause

- FM means extraordinary events beyond human control — Acts of God (natural calamities), war, strikes, riots, crimes — but **not** negligence or wrong-doing, predictable / seasonal rain, or events specifically excluded in the clause.
- If performance (whole or part) is prevented or delayed by FM for a period **exceeding 90 days**, either party may at its option terminate the contract without any financial repercussion on either side.

Liquidated Damages (LD)

Compensation for loss on account of late delivery, **pre-estimated and mutually agreed**, is termed Liquidated Damages. Law allows recovery of pre-estimated loss provided such a term is in the contract — there is **no need to establish actual loss**.

Quantum of LD

- Where stores (or any instalment) are accepted after the original delivery period expires, the CA may recover an LD of **0.5% (half per cent) per week** (or part thereof) of delay, on the delivered price (including GST, freight and variations) of the late-delivered portion.
- Maximum deduction = **5%** of the total contract value (or any other percentage prescribed).
- In case of **inordinate delay**, the maximum deduction shall be **10%** of the total contract value.
- **Inordinate delay** = inexcusable delay of more than **one-fourth (25%)** of the total completion period.
- There should normally be **no waiver** of LD; any waiver is an exception requiring CA approval with consultation of associated Finance, and recorded justification.
- Government establishments / Departments (as distinct from PSUs) executing contract work should not be treated as ordinary contractors and generally not penalised for late delivery. In **development / indigenisation** contracts, LDs are not levied.

13. Disposal of Scrap / Surplus Goods

The Competent Authority to declare and dispose of scrap may be laid down in the SoPP, based on the **'Book Value'** or **5% of the Original / Market Value** of new goods.

The CA may relax the need for survey by a Survey Committee (SC), as a standing order, for a list of known scrap items (newspapers, containers, etc.) of small value (**₹15,000**).

Modes of Disposal

Scrap / Surplus Value	Mode of Disposal
Up to ₹15,000 (each case)	Direct sale to local scrap dealers on a summary-quotation basis (waste paper, industrial sweepings, etc.).
Up to ₹4 lakh	Sale on a Limited Tender basis to locally known scrap dealers of the relevant category.
Above ₹4 lakh	E-auction (PREFERRED), tender for disposal, or traditional public auction — using NIC, MSTC, Indian Railways or any appropriate e-Auction portal.

- Useable machinery / spares still useful to other Ministries / Departments / PSUs may be **transferred at book value plus 20%** — **7.5% freight + 12.5% handling charges** — directly to the concerned organisation.
- Disposal must avoid accumulation, blockage of space, and deterioration in value.

14. Quick-Revision Capsule

Most-Tested Threshold Limits (Memorise These!)

Parameter	Limit / Value
Petty purchase without quotation (Rule 154)	**Up to ₹50,000**
Local Purchase Committee — 3 members (Rule 155)	**₹50,000 to ₹5,00,000**
LTE — default range (Rule 162)	**₹5 lakh to ₹50 lakh (₹50 lakh ceiling)**
OTE / Advertised (Rule 161)	**₹50 lakh & above**
GeM — direct purchase from any seller	**Up to ₹50,000**
GeM — L1 from 3 different manufacturers	**₹50,000 to ₹10 lakh**
GeM — mandatory bidding / reverse auction	**Above ₹10 lakh**
GeM — Automobiles direct-purchase ceiling	**₹30 lakh**
GTE — no GTE invited up to	**₹200 crore (DoE OM 03.08.2021)**
Min. gap (advt → bid open) — OTE	**21 days**
Min. gap (advt → bid open) — GTE	**4 weeks**
LTE bid-submission time	**≥ 3 weeks (6 weeks for imports / complex)**
Bid validity (default if not specified)	**90 days**
Bid security validity (beyond bid validity)	**45 days**
EMD threshold (no EMD up to)	**₹5 lakh**
EMD range	**2% – 5%**
Performance Security — Goods/Services (01.01.2024)	**3% – 5% of contract value**
Performance Security — Works	**3% – 10% of contract value**
Performance Security — Scrap tender	**25% of bid value**
Performance Security — exemption up to	**₹50 lakh contract value**
Performance Security — validity beyond all obligations	**60 days**
Performance Security — submission window	**14 to 28 days after award**
Advance-payment Bank Guarantee	**At least 110% of advance**
MSE procurement target	**25% (4% SC/ST + 3% Women)**
MSE price-matching band	**L1 + 15% → supply at least 25%**
MSE — payment cycle (MSMED Act, s.15)	**≤ 45 days; objection within 15 days**

Parameter	Limit / Value
MSE — interest on delayed payment (s.16)	**Compound interest @ 3 × Bank Rate**
MII — Class-I / Class-II / Non-Local content	**≥ 50% / >20% & <50% / ≤ 20%**
MII — Margin of purchase preference	**L1 + 20%**
MII — Local content certification (CA/CMA)	**Contracts above ₹10 crore**
MII — Penalty for class downgrade	**Up to 10% of contract value**
MII — Exemption from PPP-MII Order	**Below ₹5 lakh**
PAC — max. period before mandatory OTE retest	**3 years**
Option Clause — typical %	**± 25% (max 25–30%)**
Advance — Private firms	**30% of contract value**
Advance — Govt agency / PSU	**40% of contract value**
Advance — Maintenance contracts	**Equivalent to 6 months**
Liquidated Damages — rate	**0.5% per week (max 5%; inordinate 10%)**
Inordinate Delay =	**> 25% of completion period**
Force Majeure — termination after	**> 90 days**
Annual Procurement Plan — upload on GeM within	**30 days of Budget approval**
Cash payment limit (LPC purchases)	**₹5,000**
Annual ceiling for LPC purchases (per office)	**₹5 lakh**
Imprest for LPC officer	**Approx. 2 months' procurement**
Disposal — direct sale to scrap dealers (summary)	**Up to ₹15,000**
Disposal — LTE to local scrap dealers	**Up to ₹4 lakh**
Disposal — e-auction / public auction	**Above ₹4 lakh (e-auction preferred)**
Inter-departmental transfer — book-value premium	**+ 20% (7.5% freight + 12.5% handling)**
GTE — Agency commission ceiling	**Normally ≤ 5%**
Delivery deviation tolerance — month / qtr / year	**± 10% / ± 7% / ± 5%**
Delay-in-payment threshold (interest @ GPF rate)	**> 30 working days**

Amendment Timeline (Reverse-Chronological)

Date	Development
09.04.2026	DoE issues GFR, 2017 bi-annual compilation incorporating amendments up to 31.01.2026 (the latest in-force compilation).
19.09.2025	DoE issues GFR, 2017 bi-annual compilation up to 31.07.2025.
25.02.2025	Supreme Court (Lifecare Innovations v. Union of India) holds the MSE Procurement Policy binding on all procuring entities.
06.03.2025	DoE issues GFR, 2017 bi-annual compilation (first 2025 update).
16.08.2024	DoE issues the Manual of Procurement of Goods, 2nd Edition 2024 (the base document for these notes).
07.08.2024	DoE issues consolidated GFR, 2017 incorporating amendments up to 31.07.2024.
19.07.2024	DPIIT issues the revised Public Procurement (Preference to Make in India) Order, 2017.
18.07.2024	DoE OM enhances GFR limits (Rules 154, 155, 161, 162) for Scientific & Educational Institutions.
10.07.2024	DoE OM No. F.1/3/2024-PPD amends GFRs 133, 139, 149, 154, 155, 161, 162, 173, 183, 201 & 218 — enhanced procurement limits.
01.01.2024	DoE OM amends Rule 171(i) — Performance Security for Goods/Services revised to 3%–5% (from 5%–10%, then 3%–10%).
03.08.2021	DoE OM — revised consolidated instructions on GTE under Rule 161(iv) up to ₹200 crore.
09.11.2018	MSME Order: minimum MSE procurement raised 20% → 25%; Women-MSE sub-target of 3% added (effective 01.04.2019).

EXAM-FOCUS TIP — Numbers Most Likely to Be Asked

Rule 149 GeM slabs: ₹50,000 / ₹10 lakh — direct, L1-of-3, mandatory bidding.

Rule 154 / 155: ₹50,000 / ₹5 lakh. **Rule 161 / 162:** ₹50 lakh threshold.

Performance Security (01.01.2024): 3%–5% Goods/Services, 3%–10% Works.

MSE: 25% target, L1+15% band, 45-day payment, 3× bank-rate compound interest.

MII: L1+20% margin (NOT L+10%); Class-I ≥ 50%, Class-II 20%–50%; ₹5 lakh exemption.

Don't confuse: Advance payments are now **interest-free** (default, with approval) — interest only on contractor default; advance BG ≥ 110%.

Authoritative Sources & Verification

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2. **General Financial Rules (GFR), 2017** — compiled by DoE; amendments up to 31.07.2024 (07.08.2024), 31.07.2025 (19.09.2025), and up to 31.01.2026 (09.04.2026). Available at doe.gov.in.
3. **DoE OM No. F.1/3/2024-PPD dated 10.07.2024** — enhancement of financial limits (Rules 133, 139, 149, 154, 155, 161, 162, 173, 183, 201 & 218).
4. **DoE OM No. F.1/2/2023-PPD dated 01.01.2024** — amendment to Rule 171(i), Performance Security (3%–5%).
5. **DPIIT Order P-45021/2/2017-PP(BE-II)** — Public Procurement (Preference to Make in India) Order, 2017 (revised 19.07.2024).
6. **Public Procurement Policy for MSEs, Order 2012** (S.O. 581(E) dated 23.03.2012) and Amendment Order 2018 (S.O. 5670(E) dated 09.11.2018) — Ministry of MSME; msme.gov.in.
7. **Supreme Court**, *Lifecare Innovations Pvt. Ltd. & Anr. v. Union of India & Ors.*, 2025 SCC OnLine SC 436 (decided 25.02.2025).
8. **MSMED Act, 2006** — Sections 11, 15 & 16 (procurement policy basis; timely payments; interest on delayed payments).

— END OF NOTES —

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